PREPA Debt-Dependent Financing, Federal Knowledge, and the Clayton Nomination

TO	The Honorable Tom Cotton, Chairman; The Honorable Mark R. Warner, Vice Chairman; and Members of the Senate Select Committee on Intelligence
FROM	Richard R. Lawless, PREPA Creditor and SEC Dodd-Frank Whistleblower
DATE	July 24, 2026
RE	Request for preservation, production, and sworn inquiry concerning PREPA evidence allegedly provided to former SEC Chairman and DNI nominee Walter "Jay" Clayton III
STATUS	Evidence-controlled memorandum; not a finding of criminal or personal wrongdoing

Executive request

Congress should preserve and obtain the underlying records before drawing conclusions. The present materials converge on a serious, testable question: whether federal officials—including then-SEC Chairman Jay Clayton—received evidence that PREPA had become unable to repay debt from operating income and was using successive borrowing to refinance prior obligations, and, if so, what the SEC did with that evidence. The record does not yet prove a criminal Ponzi scheme, intentional concealment, or personal misconduct by Mr. Clayton. It does establish a substantial basis for documentary production, a supplemental sworn response, and—if the records reveal inconsistencies—transcribed testimony.

Why this matters to the Committee

The Committee's immediate concern is not to retry Puerto Rico's restructuring. It is to evaluate the candor, judgment, record stewardship, and responsiveness of a nominee for Director of National Intelligence. Mr. Clayton appeared before the Committee on July 15, 2026. Evidence that he personally received a documented warning while leading the SEC, coupled with an unexplained agency disposition, is relevant to confirmation oversight even if the underlying securities allegations remain unresolved.[1]

1. The core evidentiary convergence

SOURCE	DOCUMENTED PROPOSITION	INVESTIGATIVE SIGNIFICANCE
Puerto Rico House Report 1049	States that PREPA was "technically bankrupt" by 2010; attributes corroboration to CPA Arturo Ondina of Ernst & Young; and reports that operating income was insufficient to repay debt.[2]	Identifies a contemporaneous solvency warning and a named witness whose original testimony can be obtained.
House Report 1049 financing analysis	Reports that, from 2000–2012, PREPA raised about $11.45 billion, while roughly $8.56 billion was directed to interest prepayments, refinancing, or capitalized interest; it describes a recurring debt-refinancing cycle.[2]	Supports inquiry into disclosures, use of proceeds, debt-service assumptions, and whether new borrowing masked inability to amortize old debt.
FOMB independent investigation	The 2018 Kobre & Kim report states that PREPA became dependent on short-term GDB liquidity and that bond issuance was the principal means of repayment; it also describes new debt used to refinance prior debt.[3]	Independent institutional corroboration of debt dependence; not, standing alone, proof of fraud.
SEC record and notice evidence	Lawless declares under penalty of perjury that he emailed Clayton about Puerto Rico bond evidence. SEC FOIA responses reportedly identified approximately 209,000 pages and 268,000 emails as potentially responsive.[4]	Supports targeted preservation and production. Volume alone does not establish substance, wrongdoing, or that every record is relevant.

Direct language from the government record

The following excerpts are reproduced from the eight-page evidentiary compilation supplied with this memorandum. They are presented as the words of the cited government or government-commissioned reports—not as independent findings by the author.

H.R. 1049 — Technical bankruptcy and accounting corroboration

"PREPA's current economic insolvency was the product of, among other factors, negligent acts on the part of its creditors, who in spite of knowing that PREPA's financial and competitive situation was weak, and knowing that its infrastructure was obsolete, they negligently granted PREPA a good credit rating; disregarding that by 2010, PREPA was technically bankrupt. This fact was corroborated by Arturo Ondina, CPA and consulting partner of Ernst & Young, firm who has audited PREPA for the past 12 years."

H.R. 1049 Final Report; English translation, discussion of PREPA's economic insolvency. The original June 4, 2015 transcript remains necessary to authenticate Ondina's precise testimony.

H.R. 1049 — Use of approximately $11.45 billion in bond proceeds

"Between the years of 2000 and 2012, PREPA Government Board authorized an issuance of bonds that raised said corporation the sum of $11,449,840,000, of which $2,720,441,711 were used for capital works while $164,649,287 were used to pay financial consultants and advisors who worked for PREPA. The remaining $8,564,749,002 was used for the prepayment of interests, as well as to refinance previous capital investments, and to capitalize their respective interests, thereby circularly refinancing its debts and interests, with complete disregard for the amortization of the original debt."

H.R. 1049 Final Report, document page 8, paragraphs 2–3; filed translation at D.P.R. Case No. 17-04780-LTS, Doc. 5836-5, exhibit page 20 of 58.

H.R. 1049 — Capital-improvement percentages

"During 2004-2008 only 15% of the capital raised by the issuance of debt was used to finance the Capital Improvement Plan, the rest was used to refinance the debt, according to Mr. Luis Figueroa Baez, PREPA Finance Director. However, from 2009 to 2012 only 18% of the debt was used to finance the Capital Improvement Plan, while the remainder was used to refinance the existing debt, capitalize interest and issue advanced notes to pay future interest."

H.R. 1049 Final Report, document page 12, paragraphs 1–2; filed translation at Doc. 5836-5, exhibit page 24 of 58.

H.R. 1049 — Repeating debt cycle and possible federal action

"Investors allowed PREPA to issue bonds, then, PREPA borrowed from private banks to pay the bond's interests; then, borrowed from the Government Development Bank (from herein 'GDB') to pay back the private bank loans, and the GDB, in turn, issued more bonds to refinance all. Afterwards, PREPA would issue a new debt to pay GDB's outstanding interests, pay principal and pre-pay the new bonds' interests for several years - a cycle that is repeated over and over - and in which the original debt is never paid. This practice could constitute a fraud scheme for which the federal agencies that regulate financial instruments and the Security Exchange Commission could take action against and/or pursue civil suits against these institutions."

H.R. 1049 Final Report, document page 17, final paragraph; filed translation at Doc. 5836-5, exhibit page 29 of 58.

Direct examples from FOMB's Final Investigative Report

Kobre & Kim — PREPA's dependence on liquidity and bond issuance

"To compensate for the suppressed base rate, PREPA became dependent on short-term liquidity injections from GDB, with its principal means of repayment being the issuance of bonds."

Independent Investigator's Final Investigative Report, Aug. 20, 2018, Executive Summary at 5.

Kobre & Kim — New debt used for operations and refinancing

"That, in turn, incentivized GDB as lender and as fiscal agent to continue permitting the Puerto Rico-Related Entities to rely on new debt, both to operate and to refinance prior debts."

Independent Investigator's Final Investigative Report, Aug. 20, 2018, page 96.

Kobre & Kim — "Scooping and tossing" prior obligations

"Through decisions to approve new debt issuances for the purpose of 'scooping and tossing' older obligations..."

Independent Investigator's Final Investigative Report, Aug. 20, 2018, page 4.

Why the quotations matter. H.R. 1049 describes a transaction cycle and expressly identifies possible federal securities enforcement. The later FOMB-commissioned investigation independently describes reliance on new debt for liquidity, repayment, operations, and refinancing. The convergence does not itself prove fraud, but it sharply strengthens the basis for obtaining the underlying testimony, offering documents, audit materials, SEC investigative disposition records, and FOMB analyses.

2. What "technically bankrupt" does—and does not—establish

There is no single controlling federal securities-law definition of "technically bankrupt." In this record, the phrase appears to describe financial insolvency: PREPA allegedly lacked sufficient recurring income to meet obligations and depended on continued borrowing or refinancing. The phrase is not itself a judicial bankruptcy adjudication, a finding under Title III, or proof of fraudulent intent. Its significance comes from timing, source, and potential materiality: if PREPA's deteriorated condition was known by 2010, investigators should compare that knowledge with later offering statements, projections, debt-service representations, and use-of-proceeds disclosures.

The professional significance of Arturo Ondina

The attribution to Arturo Ondina is significant because he was not identified as a casual observer. House Report 1049 identifies him as a CPA and an Ernst & Young consulting partner who appeared at the June 4, 2015 executive meeting. Independent biographical reporting states that Ondina served as managing partner of EY's San Juan office from 2008 until his 2021 retirement and retired after approximately 33 years with EY.[6] His professional profile also identifies experience in assurance services and prior service as president of the Foundation of the Puerto Rico Society of Certified Public Accountants.[7]

That background materially increases the investigative importance of the attributed statement, but it does not eliminate the need for authentication. The present record does not establish that Ondina personally signed PREPA's audit opinions, served as the PREPA engagement partner, spoke for EY as a firm, or based his statement on particular audit workpapers. The transcript should establish his exact words, capacity, foundation of knowledge, oath status, and supporting documents.

3. What the June 2015 disclosure may mean for later PREPA bonds

If the transcript confirms that a senior Puerto Rico accounting professional told the Legislature that PREPA had been technically bankrupt since 2010, the disclosure could become a critical knowledge date. It would not automatically void every bond sold afterward. It

could, however, require transaction-by-transaction review of every subsequent primary offering, refinancing, exchange, and material secondary-market communication to determine whether investors received a complete and nonmisleading account of PREPA's insolvency, liquidity dependence, use of new proceeds, and ability to repay existing debt.

Potential consequences for post-disclosure transactions

- Offering statements issued after June 4, 2015 would need to be compared with Ondina's actual testimony and the financial records supporting it. A material contradiction or omission could support securities-law inquiry, but liability would still depend on the statement, speaker, materiality, state of mind, reliance or transaction requirements, limitations defenses, and other elements.
- Underwriters, financial advisers, bond counsel, auditors, rating agencies, and issuer officials should be examined separately. Knowledge cannot be imputed to every participant merely because testimony occurred before a legislative body; investigators must determine who received it, reviewed it, or had access to the same underlying facts.
- For outstanding bonds trading after the disclosure, public statements reasonably expected to reach investors could be subject to federal antifraud principles. The SEC has stated that municipal-issuer statements must not contain material misstatements or omissions and has encouraged procedures for accurate, timely, and complete disclosure.[8]
- Potential remedies could range from no action, corrective disclosure, or administrative remedies to civil enforcement, rescission or damages theories, claim objections, equitable defenses, or criminal referral. No remedy follows automatically; each bond series and alleged actor requires separate legal and factual analysis.

The SEC's responsibility at the June 2015 stage

The SEC existed and already possessed municipal-securities enforcement authority in June 2015. Once credible information suggested that PREPA's actual repayment capacity or use of proceeds might differ materially from statements reaching investors, the SEC's institutional responsibility was to assess whether federal securities laws had been violated, preserve and obtain relevant evidence, compare the information with offering and continuing disclosures, identify responsible persons, and determine whether civil enforcement or referral to DOJ was warranted. The SEC retains enforcement discretion; receipt of an allegation does not compel a prosecution. But a documented decision, supported by a complete investigative record, becomes especially important when later securities transactions may expose additional investors.

The FOMB's later-arising responsibility

The FOMB had no responsibility "at that moment" because it did not yet exist in June 2015. Congress created it through PROMESA on June 30, 2016. From that point forward, however, the Board's statutory purpose was to provide a method for Puerto Rico to achieve fiscal responsibility and access to capital markets. PROMESA required fiscal plans to use supportable revenue and expenditure estimates, eliminate structural deficits, improve accountability and internal controls, provide for sustainable debt, include debt-sustainability analysis, and respect lawful priorities and liens.[9]

Accordingly, once the Board received or reasonably encountered the House finding, Ondina's testimony, or equivalent solvency evidence, it needed to determine whether that information affected PREPA's certified fiscal plans, debt-sustainability analysis, creditor classifications, asserted liens and priorities, proposed restructuring treatment, and disclosures to the Title III court. PROMESA also gave the Board authority to obtain information and issue subpoenas.[10] These provisions support asking what the Board requested, reviewed, disclosed, and incorporated; they do not establish that every failure to pursue a lead was unlawful.

4. Why the evidence is potentially consequential

- It combines a legislative finding, a named accounting witness, transaction-level financing figures, and a later FOMB-commissioned investigation describing dependence on new debt.
- It predates major later bond activity and therefore may bear on what issuers, advisers, underwriters, auditors, regulators, and investors knew when later securities were offered or evaluated.
- It supplies specific custodians, dates, documents, and search terms. That makes the allegations susceptible to verification rather than dependent on inference alone.
- If direct notice to the SEC Chairman is authenticated, the Committee can ask a bounded question: what was received, routed, reviewed, referred, closed, or disclosed?

The appropriate characterization is "potentially explosive investigative evidence," not an adjudicated bombshell. Calling the financing a proven Ponzi scheme before reviewing the underlying records would give opponents an avoidable basis to dismiss the submission. The SEC defines a Ponzi scheme as investment fraud in which returns to existing investors are paid from funds contributed by new investors.[5] PREPA's alleged refinancing pattern may exhibit Ponzi-like traits, but a legal conclusion requires proof of the full transaction record, material misstatements or omissions, knowledge and intent, and the parties responsible.

5. Questions requiring documentary answers

1. On what dates did Mr. Lawless's communications reach Mr. Clayton or his office, and what attachments, links, or docket materials accompanied them?
2. Who received, opened, forwarded, logged, triaged, or was briefed on those communications?
3. What was the status and disposition of SEC matter B-02949 and any formal PREPA investigation during Mr. Clayton's tenure?
4. Did staff prepare an enforcement recommendation, closing memorandum, criminal referral, declination, or limitations analysis?
5. Did the SEC compare the 2010 solvency information and the refinancing cycle with later official statements, debt-service coverage claims, receivables, subsidies, capital plans, or going-concern information?
6. Were material investigative findings communicated to Congress, DOJ, Treasury, FOMB, the U.S. Trustee, or the Title III court?
7. Were records preserved under federal recordkeeping requirements, and do FOIA search counts correspond to distinct records, duplicates, or false positives?

8. What did Arturo Ondina personally testify to, in what capacity, under what oath or affirmation, and what supporting audit or consulting workpapers were identified?

6. Recommended Committee action

A. Immediate preservation

Send preservation requests covering January 1, 2010 through the present to:

- the SEC, including the Chairman's Office, Enforcement, the Office of Municipal Securities, the Office of the Whistleblower, the Office of the Inspector General, and records/FOIA personnel;
- Mr. Clayton and any custodians of official or transition communications;
- DOJ, Treasury, FOMB, and the Puerto Rico House of Representatives;
- Ernst & Young entities that possess records concerning PREPA engagements, subject to applicable privileges and lawful process.

B. Targeted production

- Original Lawless-to-Clayton emails, complete headers, delivery logs, attachments, routing history, acknowledgments, tasking, and calendar entries.
- Formal orders, subpoenas, investigative plans, interview memoranda, staff recommendations, closing or declination memoranda, tolling analyses, and interagency referrals concerning PREPA or related Puerto Rico securities.
- The search methodology, custodians, date ranges, deduplication information, and disposition records underlying the approximately 209,000-page and 268,000-email FOIA estimates.
- The complete June 4, 2015 executive-session transcript, recording, minutes, oath records, witness list, exhibits, and later corrections or certifications.

C. Supplemental sworn response

Require Mr. Clayton to answer written questions under oath identifying what he received, what he did, who advised him, whether he was briefed on PREPA investigations, whether any matter was limited or closed, and whether relevant findings were conveyed outside the SEC. If documentary evidence conflicts with the response, conduct a transcribed interview or additional hearing.

D. Coordinated referral without prejudgment

Where jurisdiction overlaps, share authenticated records with the Senate Banking Committee for SEC oversight, the Homeland Security and Governmental Affairs Committee for agency accountability, the Energy and Natural Resources Committee for territorial matters, and the Judiciary Committee for DOJ-related questions. Any criminal referral should follow evidence of statutory elements and intent, not merely the absence of public enforcement.

7. Evidentiary limitations that strengthen—not weaken—the request

- The available one-page email quoting House Report 1049 is not the June 4, 2015 transcript. The underlying transcript must be obtained before describing Ondina's words as direct sworn testimony.

- House Report 1049 is a legislative investigative record, not a court judgment. Its figures and attributions should be tested against primary financial statements, offering documents, audit workpapers, and testimony.
- Refinancing, capitalized interest, and borrowing to meet liquidity needs are not automatically fraudulent. The decisive questions include disclosure, materiality, purpose, knowledge, intent, and investor understanding.
- FOIA volume estimates show the potential scale of a record set; they do not establish that every item concerns fraud or supports the allegations.
- The current record does not establish that Arturo Ondina personally served as PREPA's signing audit partner. It establishes that House Report 1049 identified him as a CPA and Ernst & Young consulting partner who appeared at the June 4, 2015 meeting.

8. How congressional review can open lawful future discovery

A Committee inquiry can preserve records that might otherwise become difficult to locate, authenticate communications, identify custodians and witnesses, clarify whether privileges are asserted, and create an independent chronology. Those steps may generate admissible leads for courts, regulators, inspectors general, or litigants operating under their own authority. The memorandum does not ask the Committee to direct a judicial outcome or declare bonds invalid; it asks the Committee to secure and test evidence before confirmation and oversight opportunities pass.

Conclusion

Taken together, the materials warrant prompt inquiry. The strongest case is not that a Ponzi scheme has already been proved. It is that a Puerto Rico legislative report, a named accounting witness, quantified refinancing evidence, a FOMB-commissioned investigation, extensive SEC search results, and a sworn assertion of direct notice to the SEC Chairman converge on questions that can be answered only through preserved records and sworn testimony. The Committee should obtain those answers before treating the matter as resolved.

How to request the June 4, 2015 transcript

Request the complete record from the Puerto Rico House of Representatives, not merely a transcript excerpt. Because House Report 1049 describes the proceeding as an executive meeting, the record may not be posted publicly and may require a written legislative-records request, a request through a Senator's office, or a subpoena.

Step 1 — Identify the record precisely

- Date: June 4, 2015.
- Proceeding: executive meeting/hearing referenced in Puerto Rico House Report 1049.
- Witness: CPA Arturo Ondina, identified in the report as an Ernst & Young consulting partner.
- Subject: PREPA's financial condition, including the statement attributed to him concerning technical bankruptcy by 2010.

Step 2 — Ask for the complete record

- verbatim stenographic or certified transcript;
- audio and video recordings;
- minutes, attendance sheet, witness list, and oath/affirmation record;
- Ondina's written statement, exhibits, presentations, workpapers, and correspondence;
- committee subpoenas, invitations, certifications, corrections, translations, and chain-of-custody information;
- the record-retention schedule and a written no-record certification if any item cannot be located.

Step 3 — Send the request to likely custodians

Address parallel requests to the Secretary/Clerk of the Puerto Rico House, the legislative commission that produced House Report 1049 (or its successor), the House legal counsel and records/archive office, and the Puerto Rico Legislative Library or official archive. Ask the SSCI to request the same materials institution-to-institution. Also send a preservation request—not an accusation—to Ernst & Young and to Mr. Ondina for any copy lawfully retained.

Suggested request language

> Please produce the complete and unredacted legislative record of the June 4, 2015 executive meeting referenced in Puerto Rico House Report 1049, including every transcript, recording, minute, attendance or witness record, oath or affirmation, written statement, exhibit, attachment, presentation, correction, certification, and Spanish- or English-language version. The request specifically includes testimony or materials of CPA Arturo Ondina concerning PREPA's financial condition or technical bankruptcy. Please preserve all originals, metadata, indexes, and chain-of-custody records. If any material is withheld, identify each item, the legal basis for withholding, the custodian, and the procedure for administrative or judicial review. If no responsive record can be located, please provide a signed no-record certification describing the repositories and search methods used.

Step 4 — Preserve authentication and translation

- Ask for a custodian's certification that the copy is complete and maintained in the ordinary course of legislative business.
- Retain the native-language version. Use a certified translator for any English submission and keep the translator's certification with the original.
- Do not edit the recording or transcript. Preserve hashes, metadata, envelopes, cover letters, and download receipts.

Step 5 — Escalate methodically if access is denied

9. Request a written denial identifying the rule, statute, privilege, or executive-session restriction relied upon.
10. Ask whether access can be provided in camera, under protective conditions, or directly to congressional counsel.
11. Ask the Senate Committee to issue an institutional demand or subpoena if voluntary production fails.
12. Consult Puerto Rico counsel about any applicable access-to-information remedy and limitation periods. Do not assume Puerto Rico's legislative records follow federal FOIA.

Sources and record references

[1] U.S. Senate Select Committee on Intelligence. Committee membership; July 15, 2026 nomination hearing for Walter "Jay" Clayton III. Source

[2] Puerto Rico House Report 1049. English translation filed as an exhibit in In re Financial Oversight and Management Board for Puerto Rico, D.P.R. Case No. 17-04780-LTS, Doc. 5836-5 (filed Oct. 1, 2025), including the June 4, 2015 witness identification, technical-bankruptcy discussion, and financing figures. Source

[3] Kobre & Kim LLP. Final Investigative Report to the Financial Oversight and Management Board for Puerto Rico (Aug. 20, 2018), discussing PREPA's dependence on GDB liquidity and bond issuance. Source

[4] Lawless declaration and SEC FOIA responses. Declaration executed July 18, 2026; SEC FOIA estimates identifying approximately 209,000 pages and approximately 268,000 emails as potentially responsive. The estimates require validation, deduplication, and document-level review.

[5] U.S. Securities and Exchange Commission. Investor.gov definition of a Ponzi scheme. Source

[6] News is My Business. Executive-appointment report stating that Ondina led EY's San Juan office from 2008 until 2021 and retired after 33 years with the firm. Source

[7] Arturo I. Ondina professional profile. Lists San Juan managing-partner and assurance-services experience and prior leadership of the Foundation of the Puerto Rico Society of CPAs. Source

[8] SEC Office of Municipal Securities. Staff Legal Bulletin No. 21 concerning application of federal antifraud provisions to municipal-issuer statements reaching investors and trading markets. Source

[9] 48 U.S.C. §§ 2121 and 2141. FOMB's statutory purpose and fiscal-plan requirements, including sustainable debt, accountability, internal controls, and debt-sustainability analysis. Source

[10] 48 U.S.C. § 2124. FOMB information-gathering and subpoena powers. Source

Respectfully submitted,
Richard R. Lawless
PREPA Creditor / SEC Dodd-Frank Whistleblower